

more) of any returns generated. These funds had their start in the 1920s; Graham himself ran one of the first.

What would Graham and Dodd think about today's hedge funds? I believe they would consider them a mixed bag. Some pursue risk-averse strategies, carefully identifying mispricings and hedging risk. Others pursue short-term profits, employ enormous leverage, or make macroeconomic bets. Still others follow relative performance strategies, where they use fundamental investment analysis to buy what they regard as the best companies and sell short the worst companies. When done right, they may earn profits on both sides of the ledger. Illiquidity, lack of transparency, gargantuan size, embedded leverage, and some funds' hefty fees would no doubt raise red flags for Graham and Dodd, but they would probably approve of the hedge funds that practice value-oriented investment selection.

While Graham and Dodd emphasized limiting risk on a per investment basis, they also believed that diversification and hedging could protect the downside of an entire portfolio. (Chap. 1) Most hedge funds hold some securities that when considered in isolation may involve an uncomfortable degree of risk, but they attempt to offset the risks for the portfolio as a whole by employing hedging strategies such as the short sale of similar but higher multiple securities or market indices.

VALUE-INVESTING PRINCIPLES ARE RELEVANT BEYOND THE FINANCIAL MARKETS

Graham and Dodd's commonsense principles apply beyond the financial markets—such as in the search for baseball talent, as eloquently captured in Michael Lewis's 2003 book, *Moneyball*. The market for baseball players, like the market for stocks and bonds, is inefficient (and for many of the same reasons). In both investing and baseball, there is no single way to ascertain value, no one metric that tells the whole story, and there is voluminous information without a